

(H)eavy (P)rice



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How exactly do you intend to build the trust of your consumers if you regularly indulge in shady behaviour?

Towards the middle of last month – 13th of September to be precise – everyone who was using third-party cartridges with their HP printer had a nasty surprise. An error claiming that one or more cartridges had been damaged and would require replacement popped up. So if you replaced those cartridges with another third-party cartridge, you'd still get that problem and your HP printer would refuse to print at all. It took a while and when Dutch retailer 123ink investigated, they found out that the printer firmware itself was programmed to reject third-party cartridges. As an enormous number of complaints started pouring in, questions were raised. HP was asked by numerous sources to comment on the issue and they feigned ignorance. They released an official statement six days later claiming that they did indeed program the kill code in order to “protect innovation and intellectual property, but also to improve the safety of products for customers”.

Yeah, right...

A quick glance at their Q1 FY16 results indicates that HP is losing revenue in the printing segment. Total number of hardware units sold was down by 20% which included commercial units that had dropped by 15% and consumer units that had dropped by 23%. Those are huge reductions. And where does HP make money from the printing segment? From sales of supplies which include printer cartridges. Supplies account for 67% of their revenue, i.e 2/3rd of HP's revenue from the printer division is just from selling cartridges. So when a company this big decides to pull one over the customer's eyes then you've basically traded years of customer trust for a minor bump in revenue. Not smart, not smart at all.

Despite printer manufacturers claiming that billions of dollars have been spent towards developing printer ink, the original ink sure does look ridiculously indistinguishable from third-party replacements. And this isn't the first time HP has decided to sabotage equipment that customers have paid for. They are known for frequently slipping in backdoors into their enterprise systems as well. A cursory Google search points to news articles covering backdoors in 2010, 2011 and 2013 on the first page of

Google. How exactly do you intend to build the trust of your consumers if you regularly indulge in shady behaviour?

And it isn't just HP, a lot of hardware manufacturers do the same. Take Xiaomi for example, if you're running the stock MIUI then you'll likely find an app called 'AnalyticsCore.apk' which constantly runs in the background and reappears even if deleted. It's job? To check with Xiaomi's servers every 24 hours for a file named "Analytics.apk" which if a new version is found will be downloaded and installed without user consent. It's not uncommon for companies to deliberately manufacture their devices so that they fail after a certain period. It's called planned obsolescence, something we've covered in good detail back in 2014.

It's a worrying trend that's spread across the technology sphere, be it hardware or software. Companies are moving towards either resorting to planned obsolescence or subscription models to ensure a steady revenue stream. Proprietary software such as Windows and Adobe's Creative Suite rely on subscription revenue models. Video games have DLCs, hardware like printers have increased dependence on expensive inks and toners with built-in kill switches. This reminds me of a study performed by Economics Professor Philip Babcock of the University of California. The study found that when grades were inflated i.e. students expected to get a good grade then they were 50% less likely to put in real effort.

The technology industry is undergoing a similar change with such fixed streams of revenue, the need to innovate for companies isn't as pronounced. Instead, be prepared to see companies breaking down innovations and providing them in updates on a piecemeal basis. Soon enough the pace of R&D in the technology segment will slow down and this is the heavy price us consumers have to pay, and pay we will! 

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